

REPOSITORY 05

Artificial Intelligence in the Knowledge Economy

Ide & Talamàs (2025), *Journal of Political Economy*

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github.com/johnbarraza/ai-05-ide

1. The paper and the agent's problem

Question

How do AI capability and autonomy reorganize knowledge work, output, and wages?

One mechanism

Workers attempt problems; solvers handle exceptions. AI changes matching, span of control, and surplus shares.

Technology

$$n(z) = \frac{1}{h(1-z)}$$

Source: Accepted manuscript, Sections 3.1–3.2, equations (1)–(4).

Competitive firm's choice

For human worker z , choose solver $s \geq z$:

$$\max_{s \geq z} \Pi_2^{nA}(s, z) = n(z)[s - w(z)] - w(s).$$

Autonomous AI adds the alternatives

$$\Pi_1^A = z_{AI} - r, \quad \Pi_2^{tA} = n(z) [z_{AI} - w(z)] - r,$$

$$\Pi_2^{bA} = n(z_{AI}) [s - r] - w(s).$$

Free entry: the chosen structure earns zero profit.

2. Main result: capability and autonomy are distinct

Maintained environment: $z \in [0, 1]$ observable; g continuous and strictly positive; $x \sim U[0, 1]$; $h < h_0$; at most two layers; identical compute abundant relative to human time; $z_{AI} \in [0, 1)$.

Proposition 5 · autonomous AI

Let $B = \{z \leq z_{AI} : w^*(z) > w(z)\}$ and $T = \{z \geq z_{AI} : w^*(z) > w(z)\}$. Then

$$B \neq \emptyset \iff z_{AI} > \bar{z}_{AI}, \quad \bar{z}_{AI} \in \text{int } W,$$

$$T \neq \emptyset \quad \forall z_{AI} \in [0, 1).$$

The top claim can fail for $h \geq h_0$ and does not include $z_{AI} = 1$.

Intuition: autonomy changes feasible roles; **capability sets both the bottom-winner and adoption thresholds.**

Proposition 6 · non-autonomous AI

Unique efficient equilibrium, $r^* = 0$. If $z_{AI} \leq w(0)$, AI is unused. If $z_{AI} > w(0)$, only the bottom uses it as solver. In either case:

1. $Y^* > Y^*$;
2. some $z > 0$ has $w^*(z) \leq w(z)$, strictly if active;
3. near zero, $w^* \geq \max\{w, w^*\}$, strictly if active;
4. near one, $w^* \leq w^*$, strictly for $z \neq 1$.

3. What I did: a three-type threshold audit

Let $L < M < H$, $a = z_{AI}$, and

$$n_L = \frac{1}{h(1 - z_L)}.$$

Autonomous AI can produce alone, so $r^* = a$.
Zero profit for AI solving for L gives

$$n_L(a - w_L^A) - a = 0 \quad \Rightarrow \quad w_L^A = a[1 - h(1 - z_L)].$$

Hence

$$L \text{ wins} \iff a > \bar{a}_L = \frac{w_L^0}{1 - h(1 - z_L)}.$$

Non-autonomous AI leaves compute idle, so $r^* = 0$. Conditional on adoption,

$$n_L(a - w_L^N) = 0 \Rightarrow w_L^N = a,$$

and Proposition 6 requires $a > w(0)$. Therefore

$$w_L^N - w_L^A = ah(1 - z_L) > 0.$$

What the exercise isolates

Capability turns adoption and bottom gains on;
autonomy changes AI's outside option and who captures surplus.

Source: Discrete accounting extension; symbolic checks in `discrete_model.py`.

4. Where I did not believe the AI

Insert authentic evidence

Add your own photo as `hand/derivation.jpg`, then recompile. The equations to reproduce are in `hand/README.md`.

Source: Accepted manuscript, Propositions 5–6, pp. 25–28.

The tempting AI answer was:

“Distributional effects are driven by autonomy, not capability.”

My verdict: incomplete

Prop. 5 requires $z_{AI} > \bar{z}_{AI}$ for autonomous bottom winners. Prop. 6 requires $z_{AI} > w(0)$ before non-autonomous AI is even used.

Autonomy determines the role set; capability determines whether the relevant regime activates. The paper has two dimensions, not one.